

Conference call notes: Israeli election update

送信者: EG Middle East & North Africa 受信日時: 2026-09-18 20:00

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Conference Call Note

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Israeli Election Update

18 Sep 2026 06:58 EDT Listen to the recording

Short-term trajectory:

Long-term trajectory:

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An anti-Netanyahu coalition is our basecase to win the 2026 Israeli elections (60%), but it could end up as a short-lived minority government followed by new elections within months.

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The election outcome matters less for economic stability than for key domestic issues like judicial overhaul reversal, ultra-orthodox conscription, and West Bank settler violence.

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Saudi normalization remains unlikely under any plausible Israeli government in the near term, as regional coalitions harden and Crown Prince Mohammad bin Salman actively hedges.

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Speakers:

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Natan Sachs, Senior Fellow, Middle East Institute; Adjunct Lecturer, Johns Hopkins University; former Director, Center for Middle East Policy, Brookings Institution

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Firas Maksad, Managing Director, Middle East and North Africa, Eurasia Group

Three-Camp Framework: Why the Race Is So Close

Natan Sachs argued that the 2026 Israeli election is best understood as a competition between three main camps: The pro-Netanyahu bloc, a Jewish- and Zionist-based anti-Netanyahu opposition, and the Arab-based parties. The critical question is whether the opposition can reach 61 Knesset seats without formally relying on Arab parties—something Israeli Prime Minister Benjamin Netanyahu has made a central campaign attack line. Eurasia Group's base case assigns roughly 60% probability to the anti-Netanyahu bloc coming out ahead (see: Israel's opposition will likely win power with a fragile

coalition , 09 September 2026). A Channel 13 poll released just before the call showed Netanyahu closing the gap, but speakers treated it as one data point, not necessarily a trend reversal.

The likely opposition leader, former Israel Defense Forces Chief of Staff Gadi Eisenkot, has signaled he would swear in a minority government with Arab party support rather than formal coalition inclusion. Sachs assessed such a government as probably short-lived given the difficulty of passing a budget. If it collapses, new elections follow, with the caretaker government (Netanyahu by default, or an opposition figure) carrying real policy consequences even under constraints.

Key Issues Driving the Vote

Netanyahu is running on security credibility in a post-07 October context and the framing that the opposition cannot govern without Arab party support. The opposition is countering on three fronts: Accountability for the security failure of 7 October, judicial overhaul reversal, and ultra-orthodox conscription. A United Arab Emirates intelligence tip-off to Netanyahu approximately one week before 7 October has not moved the polls, suggesting it is already priced in among voters inclined to break with Netanyahu.

Israeli Jewish voters have shifted sharply rightward since 7 October, producing an opening for Ofer Winter, a former brigadier general running as right-wing and close to the Netanyahu coalition, but untainted by the 07 October failures. His campaign explicitly frames the choice as "containment vs. victory," targeting the opposition's security posture.

The October Surprise Question

Sachs assessed that most variables are already baked into the elections. A public break by US President Donald Trump with Netanyahu was flagged as potentially one of the most impactful remaining wildcards—not because Trump is universally popular in Israel, but because one of Netanyahu's main foreign policy brand assets is his standing with major world leaders. If Trump visibly withdraws that, it strikes at the core of the Netanyahu argument for his premiership.

However, speakers noted Trump has had multiple opportunities to endorse or distance himself and has done neither, and that the personal rapport between the two is real. A major security incident inside Israel before the vote could paradoxically help the broader right, even if it further damages Netanyahu personally.

Domestic Implications: More Than the Macro Picture Suggests

The IMF projects 3.5% growth for Israel this year, but Sachs argued the composition of that growth—heavily skewed toward defense and tech, with tourism and consumer-facing sectors severely depressed—masks underlying fragility.

An opposition government would likely halt and partially roll back Netanyahu's judicial overhaul; advance ultra-orthodox conscription; remove the far-right National Security Minister Itamar Ben-Gvir and Finance Minister Bezalel Smotrich from their portfolios, dramatically reducing settler violence in the West Bank and Western sanctions risk; and restore professional, depoliticized cabinet governance.

Sachs cited the short-lived government of former prime minister Naftali Bennett and Knesset opposition leader Yair Lapid from 2021 to 2022 as a reference point for what functional management looks like. New UK and Canadian sanctions on settlement products were flagged as a leading indicator of further economic pressure, with ambiguity remaining over whether they cover only settlement-produced goods

or anything touching settlement-linked financial infrastructure.

Iran and Turkey

On Iran, speakers agreed that the gap between Netanyahu and the opposition is narrower than on other issues. The opposition is not dovish—Eisenkot oversaw significant use of force as Chief of Staff—but it is more likely to operate within the US framework, avoid pushing Trump on any Iran deal, and be more cautious about initiating the use of military force. The key historical contrast offered: Netanyahu pushed Trump to exit the Joint Comprehensive Plan of Action (JCPOA); opposition figures would not have done so, seeing no better alternative.

On Turkey, both speakers assessed direct kinetic confrontation as high-stakes but not imminent, with de-escalation mechanisms functioning and U.S. leverage operative on both sides. An opposition government would likely lower the rhetorical temperature without fundamentally changing Israel's strategic hedging posture—continued investment in Israel-Greece-Cyprus alignment, naval modernization—but would create more space for pragmatic engagement, including potentially on Syria and the question of engaging with President Ahmed al-Sharaa (see: Syria's terror de-listing will boost reconstruction , 31 August 2026).

Saudi Normalization: Low Odds, But Not Zero

Both speakers assessed Saudi normalization as significantly harder than pre-7 October. Saudi Crown Prince Mohammad bin Salman faces domestic public opinion constraints, concerns about being outflanked by Turkey, Pakistan, and Indonesia on the Islamic world stage, and has been actively building hedging options. Firas Maksad described the chances as "low" but declined to call it impossible, citing the Abraham Accords as a reminder of how quickly leaders with near-absolute power in their countries can pivot.

The pathway would require quieting of active fronts, an Israeli government willing to make at least symbolic gestures towards the Palestinians, creative diplomatic formulations allowing Mohammad bin Salman to claim Palestinian interests were not abandoned, and sustained pressure and focus by Trump. Even under a new government composed of the anti-Netanyahu bloc , these conditions are unlikely to be met.

Key Watch Items

1.

Trump's posture toward Netanyahu: Any public distancing or implicit endorsement of the opposition would be a major variable capable of moving polls.

2.

Whether the Anti-Netanyahu bloc clears 61 seats outright: The difference between a workable government and immediate deadlock

3.

Government durability: Specifically, whether an opposition government can pass a budget with Arab party support or abstention; failure leads to new elections and Netanyahu caretaker status.

4.

Ben-Gvir and Smotrich portfolio outcomes: Their removal (or retention) is the clearest near-term signal for West Bank settler violence trajectory and international sanctions exposure.

5.

Sanctions scope interpretation: Whether "settlement products" is read narrowly or broadly will determine material economic impact on Israeli exporters and financial institutions.

6.

Turkey-Israel incidents in Syria: The Israeli strike on Abu al-Duhur airbase in Syria was calibrated to avoid Turkish personnel; watch for whether this discipline holds as instability persists.

What Clients Are Asking

International isolation and Israeli voter behavior: Clients asked whether Israel's growing global isolation is pushing voters toward change. Sachs assessed that most Israeli Jewish voters currently interpret international criticism as anti-Semitism or misunderstanding, producing a rally-around-the-flag effect rather than a shift toward the opposition—though the opposition is actively using Israel's diplomatic deterioration as a campaign argument against Netanyahu.

Trump's incentive to drop Netanyahu: Clients noted Trump has strategic reasons—Abraham Accords expansion, Arab partner relations—to distance himself from Netanyahu. Speakers confirmed this logic is widely understood within Trump's circle, including by Special Envoy for Peace and the president's son-in-law Jared Kushner and Vice President JD Vance, but that Netanyahu's personal rapport with Trump and lack of a opposition alternative similarly attractive to Trump have prevented any public break so far.

Turkey as a strategic threat: Clients raised whether Turkey is emerging as a larger long-term challenge than Iran. Speakers assessed this framing as partly valid—Turkey has a strong economy, NATO membership, and a large and conventionally powerful military—but noted that direct confrontation stakes are so high, and U.S. leverage so present on both sides, that de-escalation mechanisms are likely to hold. A government led by the anti-Netanyahu bloc would tone down rhetoric without reversing structural hedging against Turkey.

Saudi normalization prospects: Clients asked whether a deal remains achievable in the Trump window. Speakers assessed it as low probability but not impossible, contingent on multiple simultaneous conditions being met—none of which are currently in place, and most of which likely remain out of reach under an anti-Netanyahu bloc led-government.

Domestic economic implications of election outcome: Clients questioned whether the election outcome matters given resilient macro numbers. Sachs argued that the composition of growth (defense-heavy, tourism-depressed), reserve service burden on young workers and entrepreneurs, and the medium-term rule-of-law risk to the business environment make the outcome more consequential than headline macro and GDP figures suggest.

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